

Accounting for Lease

Transactions in the Book of the Lessee

Recognition

In the Statement of Financial Position, the lessee will recognise the present "Right-of-use asset" as asset (usually non-current assets) and also recognise the present value of the amount payable to lessor as liability (usually to be split into current and non-current element). While in the Statement of Profit or loss, the lessee will recognise depreciation charges on the "Right-of-use asset" as part of operating costs and interest cost on the lease liability as part of finance cost.

Measurement.

The lease liability should be measured at the Present value of the unpaid lease payments while the "Right-of-use asset" should be measured at the fair value of the total relevant cost of using the asset.

Procedures for accounting for Lease

1. The present value of value of the leased payments should be calculated using the annuity formula or any other appropriate formula or approach.

The calculated present value of the unpaid lease payments should be the opening balance in the first year.

The calculated present value of the lease payments should be used in determining the value of the right-of-use asset.

The calculated present value of the unpaid lease payments should be used in determining the value of the finance costs and carrying amount of lease liability using the amortization schedule.

5. The lease should be depreciated the right-of-use asset on straight-line basis. According to IFRS 16, the lease period should be compared to the useful life of asset and the shorter period should be used in depreciating the right-of-use asset.

Illustration (Arrears)

On 1 January 2022 JADEE Limited bought a plant from MAO Plc under lease contract. The terms of the lease requires JADEE limited to make four annual installment of \$20,000,000 each payable at 31 December. The present value of the lease payment is \$57,000,000. The implicit interest in the lease is 15% per annum and it is estimated that the plant will be economically productive for five years. There is an opportunity to extend the lease term at conditions favourable to JADEE limited. The reporting date of JADEE limited is 31 December.

Required

Show the financial statements extract of JADEE Ltd over the relevant period of four years.

$$\text{Annual Depr. Charge} = \frac{\text{Value of right-of-use asset}}{\text{Useful life.}}$$

Illustration 2

Mubi Ltd purchased the use of a piece of Machinery from Hong Ltd on 1 January 2019 under a lease Contract. The lease contract requires four equal payments of \$750,000 at the end of each financial year. The ~~interest~~ implicit in the lease present value of the lease payment is \$2,377,400. It is estimated that the equipment will be economically productive for five years. The reporting date of Mubi Ltd is 31 December. There is an opportunity to extend the lease term at conditions favourable to Mubi Ltd. Note that the implicit interest in the lease is 10% per annum.

Required

① ~~Determine~~ Show the financial Statement extract of Mubi Ltd over the relevant period of four years.

Solution

Workings:

Amortization table

Illustration (In Advance)

African Concept Ltd, acquired a machine for the ^{next} 5 years by entering into a lease contract on 1 January 2023. The reporting date of African Concept Ltd is 31 December. Under the terms of the lease contract, African Concept Ltd is to pay five instalments of £2,500,000 yearly in advance commencing on 1 January 2023. The rate of interest implicit in the lease is 12.6%. The machine has a useful economic life of five years. The present value of the lease payment is £9,998,407. There is an opportunity to extend the lease term under favourable conditions to Afrobeat Plc.

Required

Show the financial statement extract of African Concept Ltd over the relevant lease period.

Illustration 2

Panda Ltd entered into a four-year lease on 1 January 2019 for a machine. Rentals are £20m per annum, payable in advance. ~~Panda Ltd incurs initial direct cost of~~ The present value of the lease payment is £83,400,000. The rate of interest implicit in the lease is ~~the~~ 10%. The machine has a useful life of five years.

Required

Show the financial statement ^{extract} for the relevant year ended 31 December.